



7.2

POSITIONAL TRADING STRATEGY

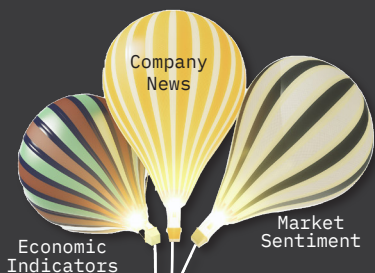


Strategy video



This chapter is for those who wish to invest money for months or even years. In this chapter, we will delve into a pure technical positional trading strategy which can help gain decent returns over a long course of time.

But before we begin, you should first understand what positional trading is.



WHAT IS POSITIONAL TRADING?

Positional trading is a trading phenomenon in which traders hold their positions in financial instruments like stocks for a long period. The period can range from weeks to months or even years! The holding period of a stock can depend from trader to trader as the goals of every individual are different.

The only goal in positional trading is to capture large price movements and take advantage of major market trends. Positional trading involves a trader to look at the bigger picture unlike intraday trading or swing trading. Positional trading requires a trader to be very patient and disciplined.

Although we are only going to talk about technical analysis in this chapter, positional traders also analyze the fundamentals of a stock. They consider *factors such as economic indicators, company news and market sentiment to assess the overall market conditions and reduce their risk.*

The primary objective of positional trading is to stay in the game for long. Meaning, a trader should be able to stay in a trade as long as the trend remains intact.

Now we can proceed with the strategy.